

# Earnings Preview: Broadcom Inc. (NASDAQ: AVGO)

**Upcoming Earnings:** Wednesday, June 3, 2026 (after market close) <sup>1</sup> **Reporting for:** Fiscal Q2 2026 (quarter ended ~May 3, 2026) **Spot:** \$446.77 (May 29, 2026 close) · Market cap ~\$2.12T · 99% of 52-week high <sup>2</sup>

## Executive Summary

This is a "prove the acceleration" print into a record-high stock. Three things decide the reaction:

- **Driver 1 — Custom AI accelerators (XPU) beat + 2027 visibility.** Management guided AI semiconductor revenue of \$10.7B (+140% YoY) for Q2 and has reiterated a "line of sight" to >\$100B of AI chip revenue in 2027 across six customers. The print itself matters less than whether that \$100B/2027 framing is reaffirmed or raised. <sup>3</sup>
- **Driver 2 — The Q3 guide, not the Q2 number.** Consensus already models a sharp sequential step-up (~\$28.6B for the next quarter). The guide carries more surprise risk than the in-quarter result. <sup>4</sup>
- **Driver 3 — Customer-economics overhang.** UBS cut its 2026 Anthropic-related estimate to ~\$8B from ~\$21B as the engagement shifted to a traditional ASIC structure, and the OpenAI "Nexus" project hit an ~\$18B phase-one financing snag. Both feed the bear question: is the backlog as monetizable as the headline gigawatts imply? <sup>5 6</sup>

**Net:** A solid beat is largely expected; the stock is priced for it. The asymmetry sits in the Q3 guide and AI customer commentary, not the Q2 EPS line.

## Primary drivers — EPIC documentation

| Driver                                                            | E (material)                                                                | P (forecastable)                                                  | I (consensus blind spot)                                                | C (your gap vs consensus)                                                                     | Why prioritized                                                          |
|-------------------------------------------------------------------|-----------------------------------------------------------------------------|-------------------------------------------------------------------|-------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|
| 1. Custom XPU ramp + \$100B 2027 line-of-sight                    | ✓ Single biggest swing factor on value; AI was 106% YoY growth last quarter | ✓ Guided \$10.7B Q2; six named customers with multi-year roadmaps | ✓ Market debates monetization/timing, not existence                     | Partial — consensus broadly accepts \$100B; gap is on <i>margin mix</i> and 2027 <i>shape</i> | Dominates revenue, valuation and narrative; everything else is secondary |
| 2. Forward (Q3) guide vs ~\$28.6B                                 | ✓ Guide sets the next 90-day tape                                           | ✓ Visible via supply commitments through 2028                     | ✓ Investors anchor on in-quarter beat; guide is where the volatility is | Modest — sequential step-up is steep and could disappoint even on a Q2 beat                   | Highest surprise-volatility item given how much is embedded              |
| 3. Customer economics (Anthropic re-rate, OpenAI Nexus financing) | ✓ Could reset the AI revenue trajectory                                     | ~ Partly — disclosed estimate cuts, but deal structures opaque    | ✓ Bull case treats gigawatts as near-linear revenue                     | Your view: more conservative on revenue-per-GW conversion than bulls                          | Only credible source of a negative surprise into a euphoric setup        |
| Deprioritized                                                     | —                                                                           | —                                                                 | —                                                                       | —                                                                                             | Non-AI semis (~\$4.1B, +4%), ESG, dividend — immaterial to the print     |

## Earnings quality quick screen

| Check                   | Observation (Q1 FY26)                                                              | Implication                                          |                                                                              |
|-------------------------|------------------------------------------------------------------------------------|------------------------------------------------------|------------------------------------------------------------------------------|
| <b>Cash conversion</b>  | Free cash flow \$8.0B = 41% of revenue; adjusted net profit ~\$10.19B <sup>3</sup> | Strong; cash backs earnings                          | Whether FCF margin holds as AI mix (lower-margin than software) rises        |
| <b>Inventory / DSO</b>  | Days of inventory rose to 68 from 58, "to support strong AI demand" <sup>7</sup>   | Deliberate build, not a red flag yet                 | Further inventory build vs revenue; any channel/timing language              |
| <b>GAAP vs non-GAAP</b> | Heavy reliance on non-GAAP (VMware amortization, stock comp)                       | Standard for the name, but widens the adjustment gap | Size of add-backs; tax rate guided ~16.5% on global minimum tax <sup>8</sup> |

## Financial Expectations

### Consensus / guidance for Q2 FY2026

- **Revenue:** consensus ~\$22.0–22.1B ( $\approx +47\%$  YoY vs ~\$15B prior-year quarter); company guided ~\$22B <sup>4 5</sup>
- **EPS (non-GAAP):** consensus ~\$2.32–2.39 (vs \$1.58 YoY) <sup>5 4</sup>
- **AI semiconductor revenue:** guided ~\$10.7B ( $+ \sim 140\%$  YoY) <sup>3</sup>
- **Infrastructure software:** guided ~\$7.2B ( $+9\%$  YoY) <sup>3</sup>
- **Non-AI semis:** guided ~\$4.1B ( $+4\%$  YoY) <sup>8</sup>
- **Margins:** consolidated gross margin guided flat sequentially at ~77%; adjusted EBITDA ~68% <sup>8</sup>
- **Q3 guide to watch:** consensus next-quarter revenue ~\$28.6B ( $\sim +30\%$  sequential) <sup>4</sup>

*Note: the data provider's analyst-estimate table is labeled on a calendar-offset basis and begins after the about-to-report quarter; the figures above use the directly reported guidance and the press-cited print consensus.*

### Recent performance context (Q1 FY2026, reported Mar 4)

Record revenue of \$19.3B, up 29% YoY, with EPS of \$2.05 vs \$2.03 estimate. AI semiconductor revenue rose 106% YoY to \$8.4B, lifting Semiconductor Solutions to a record \$12.5B ( $+52\%$ ). Operating margin reached 66.4% and adjusted EBITDA was 68% of revenue. VMware revenue grew 13% YoY, with Q1 total contract value booked above \$9.2B and ARR up 19%. <sup>3 8</sup>

## Sentiment & positioning

| Data type               | Metric / fact                                                                                                                                | Source                                 | As of         |
|-------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|---------------|
| News sentiment          | +0.226 (strongly positive); z-scores +1.3 (1mo) / +1.4 (1qt) — above norm                                                                    | Bigdata.com sentiment <sup>9</sup>     | Jun 1, 2026   |
| Media attention         | Momentum -5.2% — focus <i>not</i> accelerating with sentiment                                                                                | Bigdata.com sentiment <sup>9</sup>     | Jun 1, 2026   |
| Options positioning     | Put value \$30.59B vs call value \$21.85B (≈29% more puts than calls)                                                                        | Tearsheet (Wall St. Rank) <sup>2</sup> | Q1 2026       |
| Institutional ownership | Fund ownership 75.76%, down 1.20pp; closed positions +91.6% QoQ; net capital flow +\$125.8B (Vanguard re-mapping)                            | Tearsheet <sup>2</sup>                 | Q1 2026       |
| Insider / large holders | Capital Group entities trimmed (Capital International -\$19.0B, Capital World - \$2.3B); Norges closed                                       | Tearsheet <sup>2</sup>                 | Q1 2026       |
| Sell-side posture       | 52 Buy / 6 Hold / 0 Sell; consensus PT \$462.17, median \$468.50, high \$582, low \$335                                                      | Tearsheet <sup>2</sup>                 | Jun 1, 2026   |
| Recent PT moves         | JPMorgan \$500 (↑from \$475), Goldman \$480 (↑\$450), Rosenblatt \$500, UBS \$490 (↑\$475), Benchmark \$485, Oppenheimer \$450 (sees upside) | News <sup>10 5 11</sup>                | Late May 2026 |

The tension: **sentiment is rich but attention is fading, and options skew is defensive (puts > calls)** even as the stock sits at all-time highs — a positioning setup that can amplify a guide-driven disappointment.

## Recent Developments and Initiatives

- **Apr 14 — Meta multi-year partnership (through 2029):** Broadcom to build Meta's MTIA custom accelerator, including the "industry-first" 2nm AI compute chip, initial >1GW deployment scaling to multi-gigawatts; Hock Tan stepped off Meta's board into an advisory role. <sup>12</sup>
- **OpenAI as 6th XPU customer:** volume deployment expected 2027 at >1GW; the joint "Nexus" build hit an ~\$18B phase-one financing challenge, with funding reportedly contingent on a Microsoft ~40% purchase commitment — a May share-price drag. <sup>3 13</sup>
- **Networking momentum:** Tomahawk 6 (100 Tbps) and 200G SerDes capturing scale-out demand; AI networking was ~⅓ of AI revenue in Q1 (+60% YoY) and guided toward ~40% in Q2. <sup>7</sup>
- **Software:** LSEG renewed a five-year VMware Cloud Foundation agreement; VCF 9.1 launched for production AI workloads. <sup>2</sup>
- **Capital return / supply:** new \$10B buyback authorization; HBM and advanced-node TSMC capacity secured through 2028. <sup>10</sup>
- **Legal/regulatory:** the Q1 10-Q describes only "ordinary-course" litigation (commercial, IP, tax) and ongoing regulatory inquiries in Korea, Japan and the EU into contracting practices — no new material item flagged; principal external risk is China export controls / trade tension. <sup>14</sup>

## Industry Trends and Sector Dynamics

- **ASIC supercycle:** hyperscalers (Google, Meta, Amazon, plus Anthropic/OpenAI) are running multi-year custom-silicon roadmaps to reduce Nvidia dependence and TCO; Broadcom and Marvell are the primary merchant beneficiaries. <sup>15</sup>
- **Two-edged dynamic:** the same hyperscaler in-housing that drives Broadcom's XPU revenue also raises long-run substitution and margin-compression risk as the AI "cake" is split among more players. <sup>16</sup>

- **Geopolitics:** a Trump–Xi summit ended without a chip deal (mid-May), and U.S. advanced-semiconductor export restrictions to China persist — a recurring headline risk for the group. <sup>6</sup>

## What's priced in

| Lens            | Implied by market                                                                                   | Consensus                           | Your view                                                                                        |
|-----------------|-----------------------------------------------------------------------------------------------------|-------------------------------------|--------------------------------------------------------------------------------------------------|
| Growth          | Stock at 99% of 52-wk high, +80% in 12 months — discounts a clean beat <i>and</i> a strong Q3 guide | Rev ~\$22B (+47%), AI semi ~\$10.7B | A beat is the base case; upside needs the <i>guide</i> + \$100B/2027 to rise, not just the print |
| Margins         | Premium multiple assumes ~77% GM / 68% EBITDA holds as AI mix grows                                 | Flat GM sequentially                | Likely met; mix is the multi-quarter risk, not this print                                        |
| Beat / miss bar | "Whisper" sits above published consensus given the Q1 pattern                                       | In-line-to-beat                     | Bar is high; an in-line AI number could read as a disappointment                                 |

## Valuation cross-check

Broadcom trades at a substantial premium: roughly ~90x trailing P/E and ~61x EV/EBITDA on 2025, up from ~29x and ~21x in 2023 — multiples that already embed years of AI growth. <sup>17</sup> A representative third-party valuation note pegs a blended fair value near \$394 (DCF ~\$296, peer-relative far lower) versus a ~\$430 share price at the time — i.e., intrinsic-value models imply the stock is **rich relative to cash flows**, with the gap justified only if AI execution keeps beating. Sell-side targets cluster higher (\$462 consensus / \$468.50 median), reflecting momentum and roadmap visibility rather than DCF. The honest read: **valuation is stretched on fundamentals and supported by AI optionality** — leaving limited margin of safety if the guide underwhelms. <sup>17 2</sup>

## Variant perception (FaVeS)

**Fundamentals.** The 2–3 KPIs that move the stock are (1) AI semiconductor revenue vs the \$10.7B guide, (2) the Q3 revenue guide vs ~\$28.6B, and (3) any change to the \$100B/2027 AI-chip framing. Where consensus could be wrong: it largely treats announced gigawatts as near-linear future revenue, while the Anthropic re-rate and OpenAI financing friction suggest revenue-per-GW conversion is lumpier than the bull narrative. (Links to Drivers 1–3 and the bear case.) <sup>5</sup>

**Valuation.** As above — multiples price in sustained AI beats; intrinsic models sit below spot. In plain English: the market is paying today for 2027–2028 AI revenue *and* assuming margins hold as the mix shifts toward silicon. (See "What's priced in" + "Valuation cross-check.")

**Sentiment.** Tone is strongly positive but attention is fading and options skew is defensively tilted (puts > calls), with Capital Group funds trimming. That is a "crowded-but-cautious" setup: lots of ownership, hedged positioning — which tends to magnify moves on the guide rather than the print. (See "Sentiment & positioning.") <sup>9 2</sup>

## Bull Case: Drivers for Upside Surprise

1. **AI semis beat the \$10.7B guide and Q3 is guided above ~\$28.6B.** - Evidence: Oppenheimer models semis +20% QoQ led by networking and six ASIC programs; Q1 beat its own AI guide. <sup>11 3</sup> - Impact: a 1–2 point beat on a ~\$22B base plus a stronger guide is the most direct path to new highs.
2. **\$100B/2027 AI-chip line-of-sight reaffirmed or nudged toward "~10GW."** - Evidence: management's Q1 framing across Google (Ironwood TPU), Meta (MTIA), Anthropic, OpenAI and customers 4–5. <sup>18</sup> - Impact: extends the visibility window that supports the premium multiple.

3. **Networking inflects to ~40% of AI revenue**, confirming share gains (Tomahawk 6 / 200G SerDes). <sup>7</sup>

## Bear Case: Risks to Consensus

1. **Customer-economics reset.** UBS cut 2026 Anthropic-related revenue to ~\$8B from ~\$21B as the deal moved to a traditional ASIC structure — evidence that headline gigawatts ≠ near-term revenue. <sup>5</sup> - Impact: even a modest haircut to 2027 AI assumptions pressures a ~90x P/E.
2. **OpenAI "Nexus" financing overhang.** An ~\$18B phase-one funding gap, partly contingent on a Microsoft purchase commitment, could delay the 2027 ramp investors are paying for. <sup>13</sup>
3. **Guide disappointment / geopolitics.** A steep sequential bar (~\$28.6B) leaves room to disappoint on the *guide* even with a Q2 beat; China export-control headlines remain a recurring drag. <sup>6</sup> - Impact: with positioning hedged and valuation stretched, a soft guide could trigger an outsized de-rate.

## Scenario analysis

| Scenario | Probability | Key assumptions                                                                                 | Price (range/target)                   | Implied return vs spot (\$446.77) |
|----------|-------------|-------------------------------------------------------------------------------------------------|----------------------------------------|-----------------------------------|
| Bull     | 30%         | AI semis >\$11B; Q3 guide >\$28.6B; \$100B/2027 reaffirmed or raised; networking ~40% of AI     | ~\$540 (toward \$520–582 high-PT band) | +21%                              |
| Base     | 50%         | Rev ~\$22.0–22.5B, AI ~\$10.7–11B; Q3 ~\$28–29B; \$100B/2027 intact; GM ~77%                    | ~\$475 (consensus/median zone)         | +6%                               |
| Bear     | 20%         | In-line print but cautious guide; Anthropic/OpenAI estimate cuts confirmed; multiple compresses | ~\$375                                 | –16%                              |
| Total    | ~100%       |                                                                                                 |                                        |                                   |

**Probability-weighted view:**  $EV = (0.30 \times \$540) + (0.50 \times \$475) + (0.20 \times \$375) = \$162.0 + \$237.5 + \$75.0 = \$474.5$ , or ≈ **+6.2% expected upside** vs spot — broadly in line with the \$462 consensus target, with a fat left tail if the guide disappoints.

## Key Metrics to Watch

1. **AI semiconductor revenue vs \$10.7B guide** — the single most-scrutinized line; defines the beat. <sup>3</sup>
2. **Q3 revenue guide vs ~\$28.6B** — highest surprise-volatility item given the steep sequential step-up. <sup>4</sup>
3. **Consolidated gross margin (~77%) and EBITDA (~68%)** — proof that scaling AI silicon doesn't dilute the model. <sup>8</sup>
4. **AI networking as % of AI revenue (~40% target)** — confirms switching/SerDes share gains. <sup>7</sup>
5. **Infrastructure software / VMware ARR and bookings** — the stable, high-margin (~93% GM) ballast. <sup>8</sup>

## Management Guidance Focus Areas

- Any update to the **\$100B/2027 AI chip** and **~10GW** framing, and the path to it. <sup>18</sup>
- Color on **Anthropic and OpenAI engagement economics** (ASIC vs rack structure; Nexus financing). <sup>5</sup>
- **Inventory build** rationale and supply commitments through 2028.
- **Non-AI semis** recovery cadence and **tax rate** (~16.5%) effect on EPS. <sup>8</sup>

## Investment Implications

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The setup is a high-quality franchise priced for continued AI execution. Risk/reward is roughly balanced-to-modestly-positive on a probability-weighted basis (~+6% EV), but the distribution is skewed: most of the upside requires the *guide and 2027 framing* to improve, while the downside tail (a cautious guide into stretched multiples and defensive positioning) is real.

**Net assessment:** Neutral-to-modestly-positive because a Q2 beat is largely priced in and the swing factor is the Q3 guide plus AI customer economics; key risk: a sequential-guide disappointment or Anthropic/OpenAI revenue reset against a ~90x P/E; next catalyst: Q2 FY2026 results and call, June 3, 2026 (after close).

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## Sources

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